

# Unlocking Growth at Olist — An End-to-End Data Analytics Case Study

Analyst: Muhammed Raazi V | June 2026

This briefing summarises a 9-file analysis (Sept 2016–Aug 2018) on R\$14.4M revenue to assess sustainability, customer retention, category risk, delivery impact and state-level opportunity.

# Executive Summary — Key signals



## Rapid revenue growth

Revenue grew 25x in 13 months (R\$14.4M analysed). Surface metric: dramatic scale-up.



## AOV compression

Average order value fell from R\$175 → R\$160. Growth appears volume-driven, not margin-led.



## Customer experience risk

47% satisfaction drop following late delivery; 94% of customers are one-time buyers.

# Business questions we answered

01

## Is growth sustainable?

Distinguish organic demand vs promotional spikes (e.g., Black Friday).

02

## Which categories hide risk?

Find high-revenue categories with low satisfaction—"ticking bombs".

03

## Does delivery drive satisfaction?

Quantify on-time vs late delivery impact on ratings.

04

## Where to invest by state?

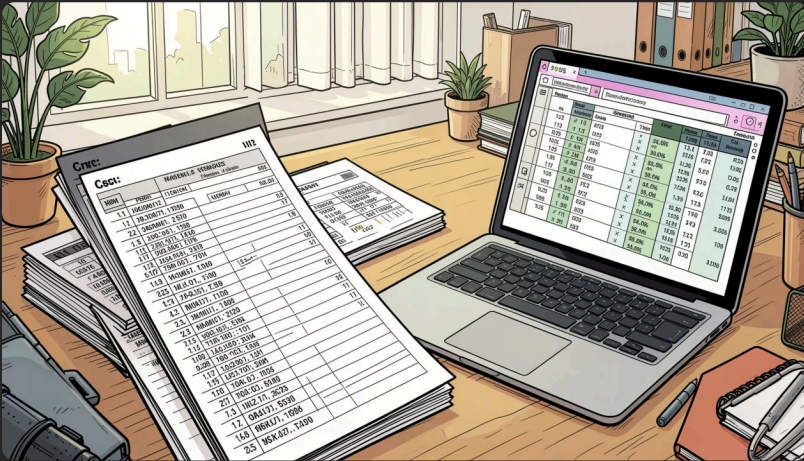
Map revenue, satisfaction, and opportunity at state level.

05

## Who are our customers?

RFM + KMeans segmentation to target retention and reactivation.

# Data overview & workflow



Scope: 96,478 delivered orders across 9 CSV files (Sept 2016–Aug 2018).  
Total revenue analysed: R\$14.4M.

Workflow: Define → Analyse → Visualise → Interpret → Recommend.  
Emphasis on reproducible scripts and validation checks.

- ❑ All figures in BRL. Visuals use aggregated monthly and categorical views; segmentation via RFM and KMeans (K=4).

# Finding 1 — Revenue growth quality

Revenue increased 25x within 13 months, but analysis shows a sharp November 2017 spike aligned to Black Friday promotions. While volume surged, AOV declined from R\$175 to R\$160 — indicating growth driven by transactions, not higher basket value.

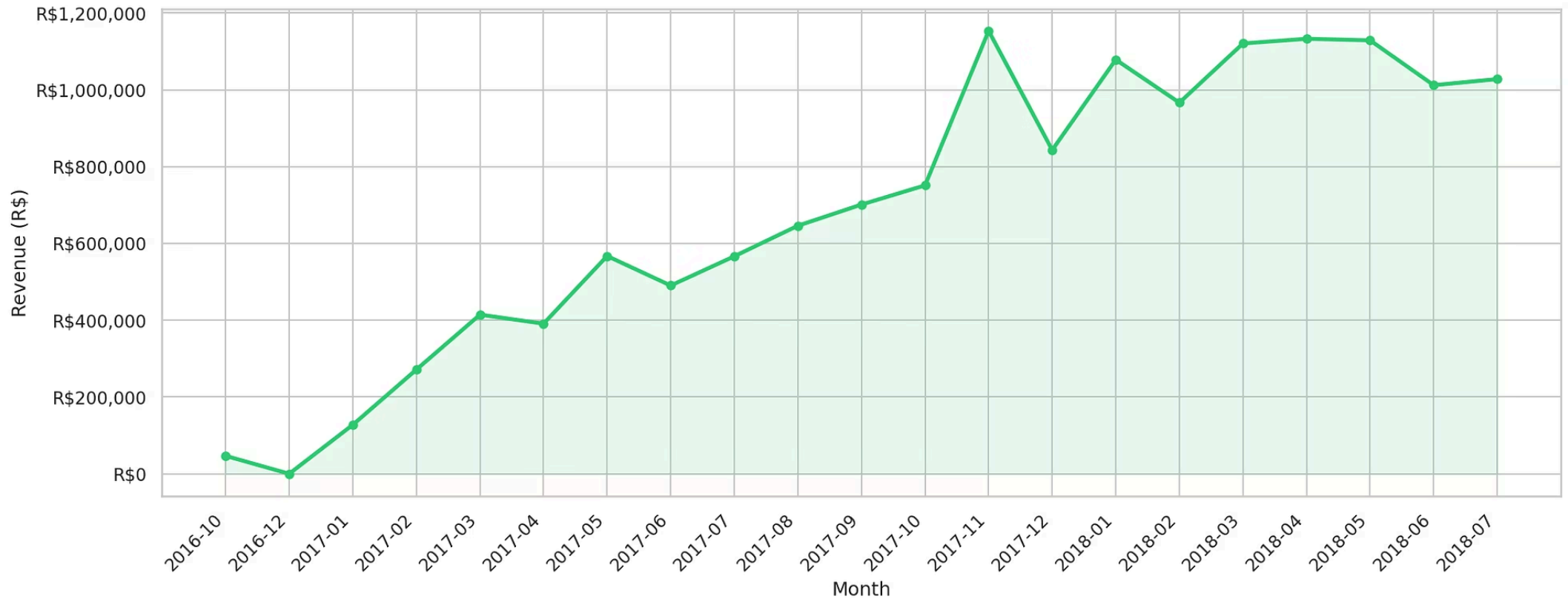
## Interpretation

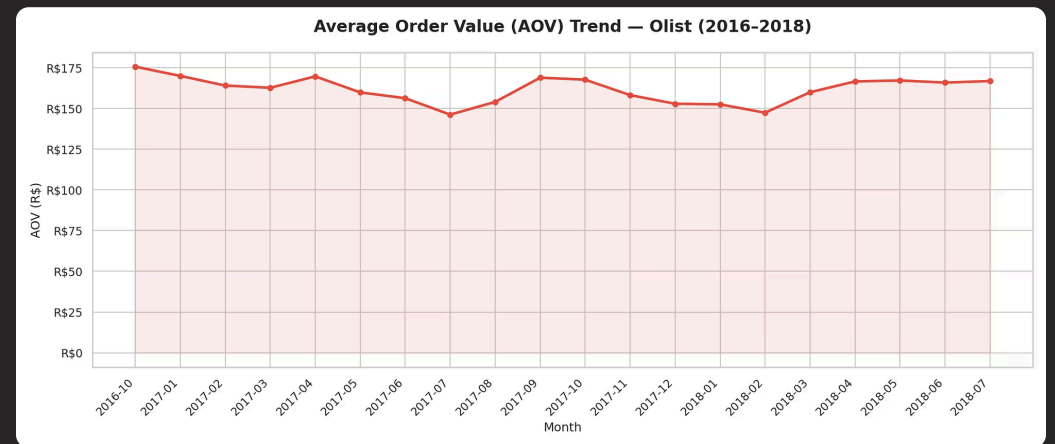
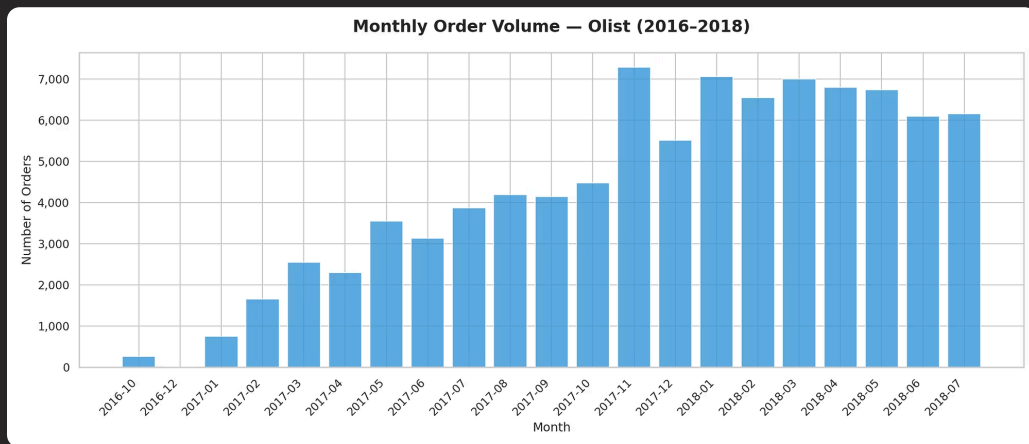
High dependency on promotional events creates volatility and margin pressure.

## Priority action

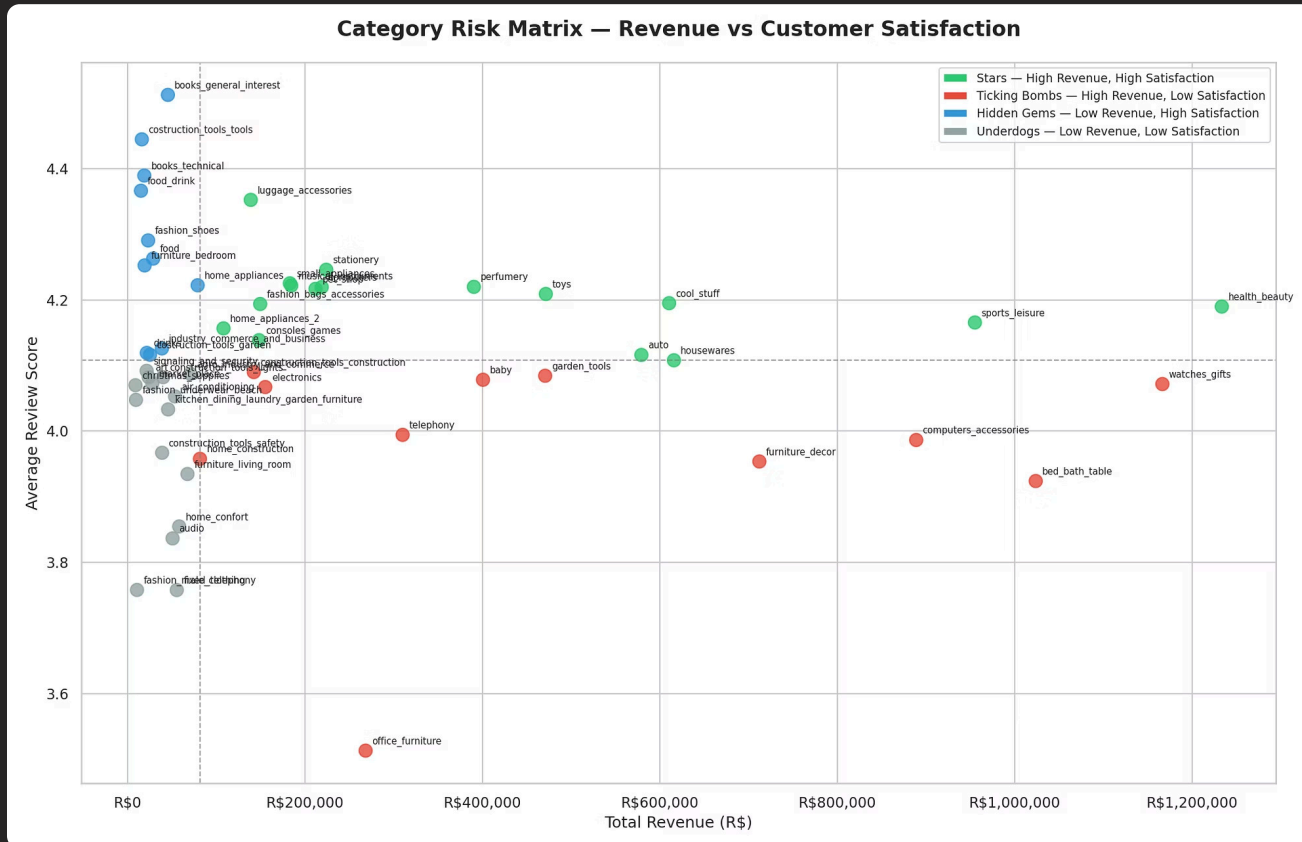
Shift focus to AOV levers: bundling, cross-sell, minimum free-ship thresholds and targeted high-margin promotions.

Monthly Revenue Trend — Olist (2016-2018)





## Finding 2 — Category risk matrix

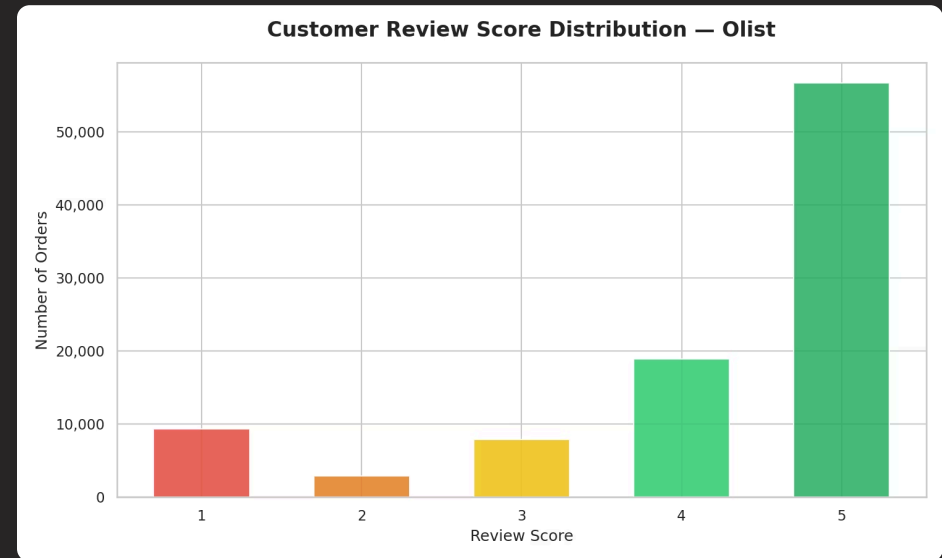
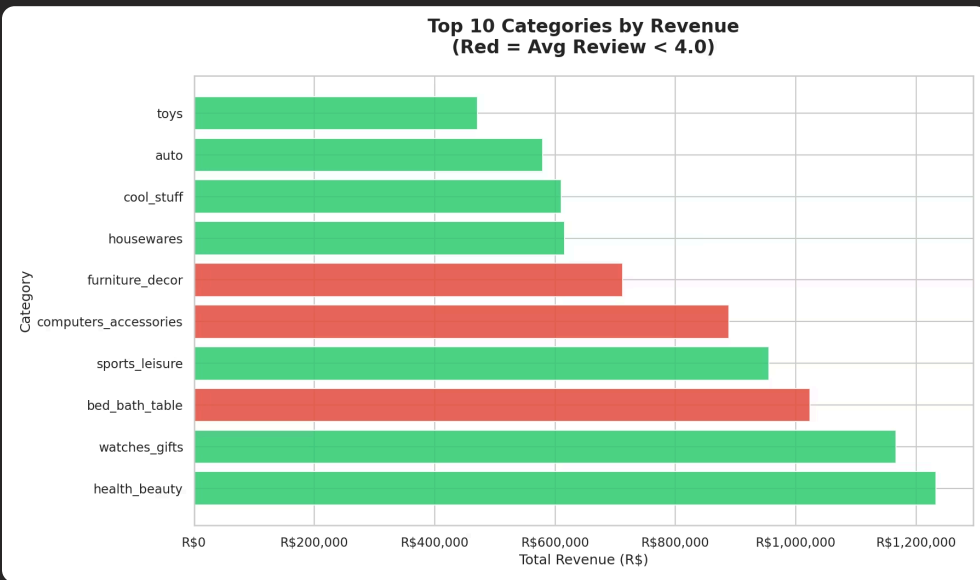


"Ticking bombs" (high revenue, low satisfaction):

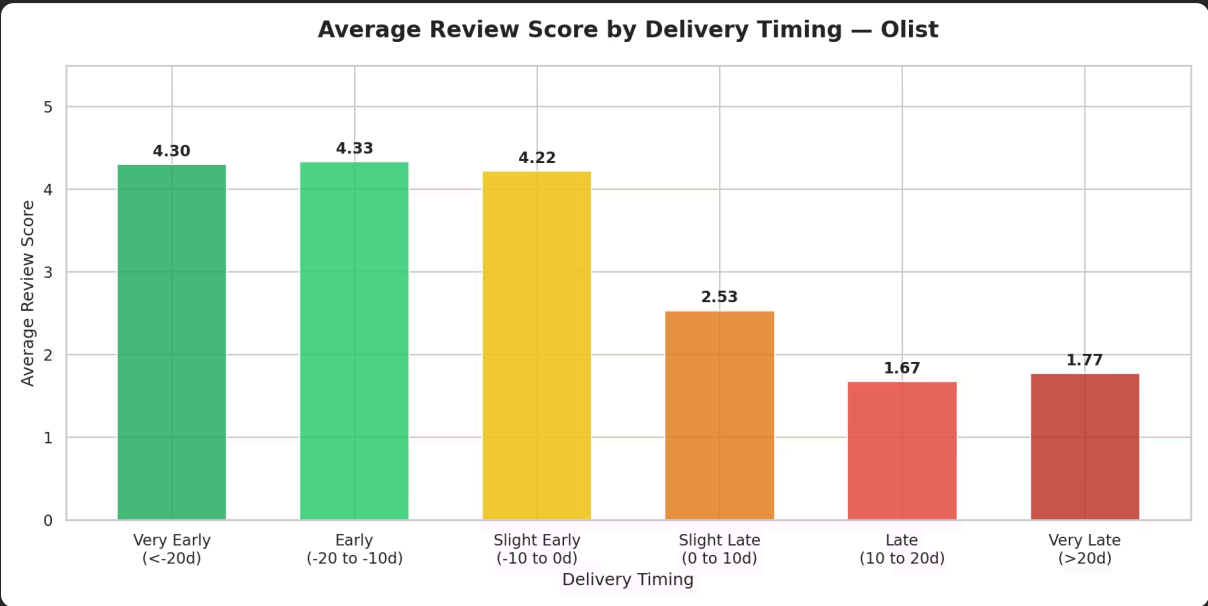
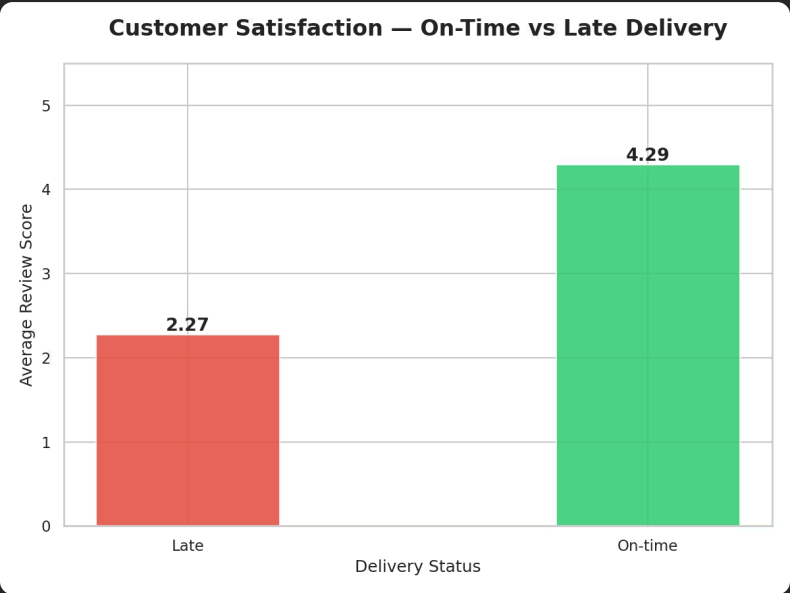
- bed\_bath\_table — R\$1M+; rating 3.92
- computers — R\$888K; rating 3.99
- watches\_gifts — R\$1.1M; rating 4.07

High-star categories (health\_beauty, sports\_leisure, toys) show better satisfaction but lower revenue concentration.

- ⚠ Urgent quality review recommended for ticking bombs — product, logistics, and returns root-cause analysis.



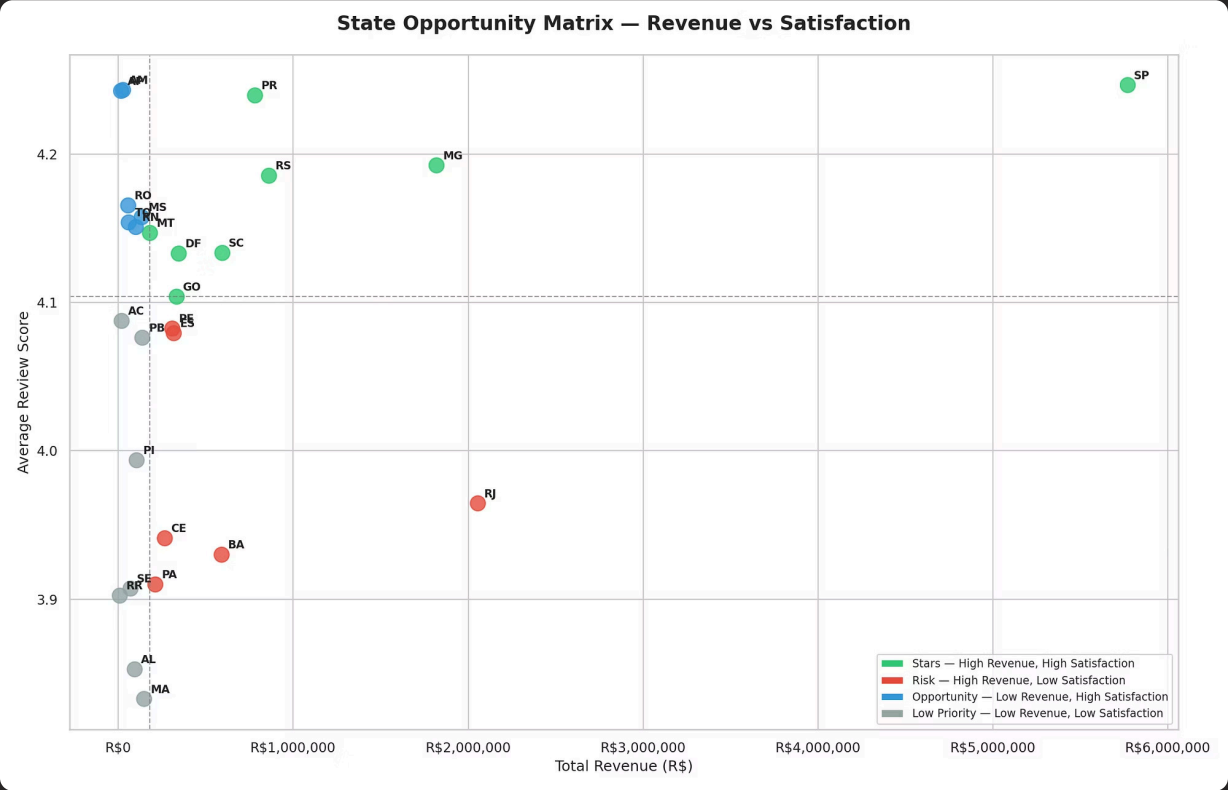
# Finding 3 — Delivery impact on satisfaction



On-time orders average 4.29 stars vs 2.27 for late deliveries. Although catastrophic delays are rare (0.36%), they produce disproportionate dissatisfaction and drive the observed 47% drop after a late order.

 Recommendation: immediate SLA monitoring, exception alerts, and prioritised recovery flows for delayed orders.

# Finding 4 — State opportunity & risk map

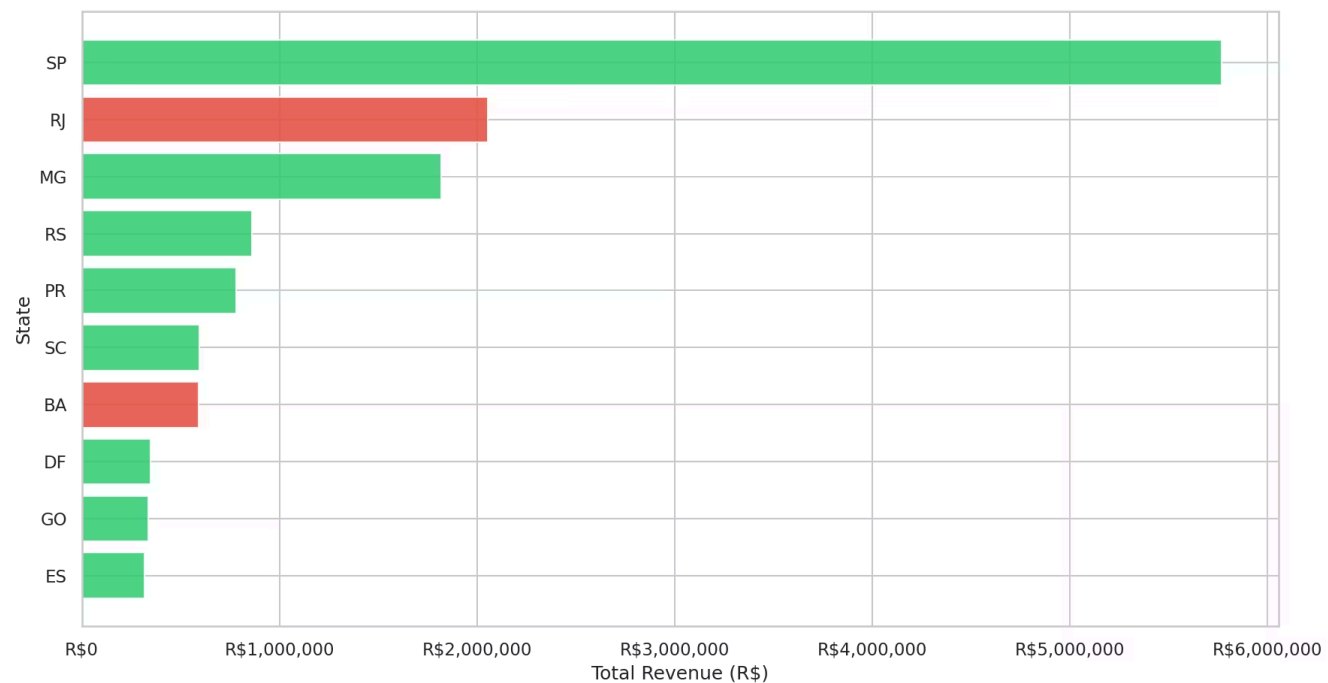


Top states by revenue & signal:

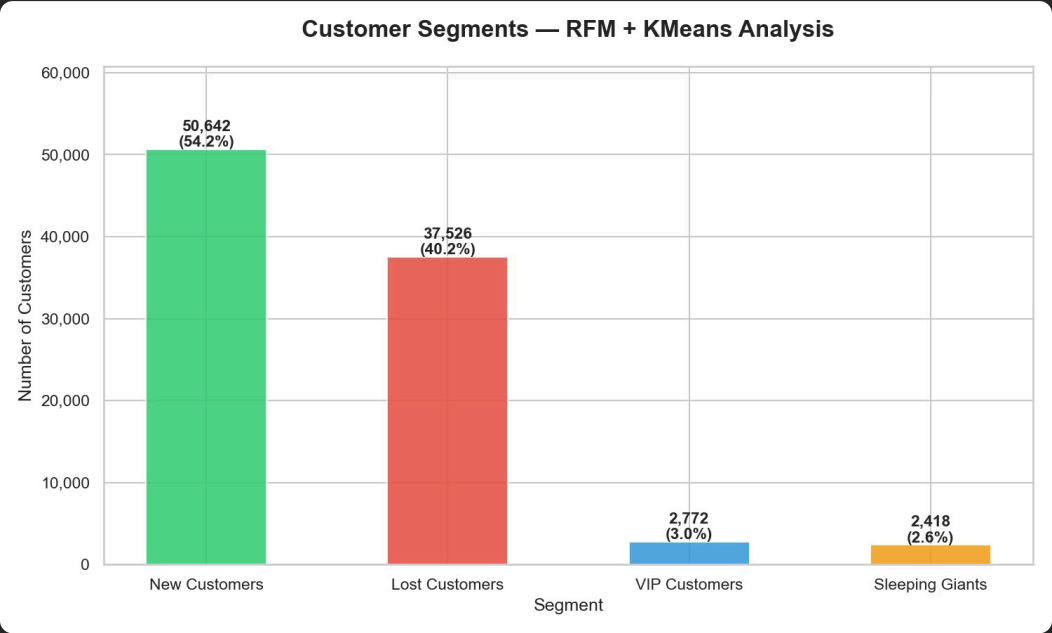
- São Paulo (SP): R\$5.77M — rating 4.25 (leader, invest to scale)
- Rio de Janeiro (RJ): R\$2.05M — rating 3.96 (risk: urgent improvement)
- Bahia (BA): R\$591K — rating 3.93 (risk)
- MS & MT: low revenue but high satisfaction — targeted growth opportunity

Recommendation: Fix operational issues in RJ/BA (last-mile partners, local fulfilment) and run targeted acquisition + fulfilment pilots in MS/MT to convert high satisfaction into revenue.

**Top 10 States by Revenue**  
(Red = Avg Review < 4.0)



# Finding 5 — Customer segmentation (RFM + KMeans, K=4)



## New Customers

50,642 (54%) —  
recency ~128 days.  
High volume, low  
loyalty.



## Lost Customers

37,526 (40%) —  
recency ~387 days.  
High priority for win-  
back campaigns.



## VIP Customers

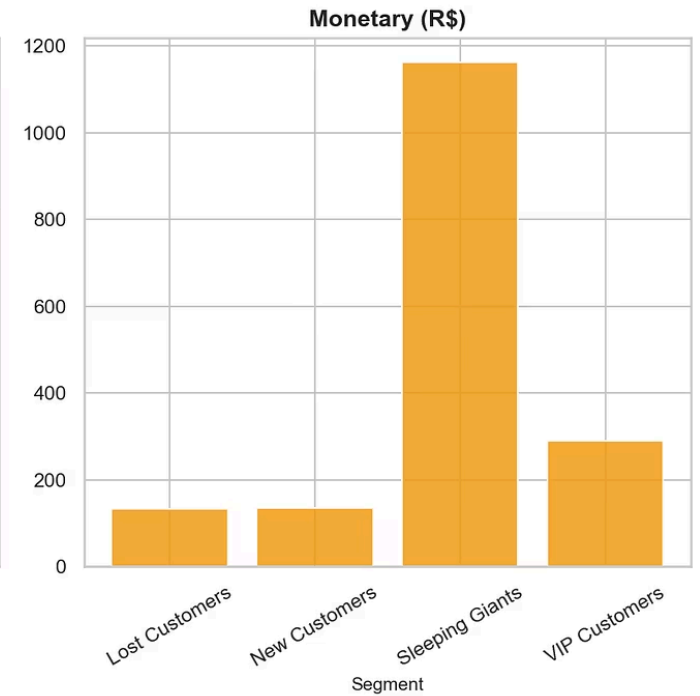
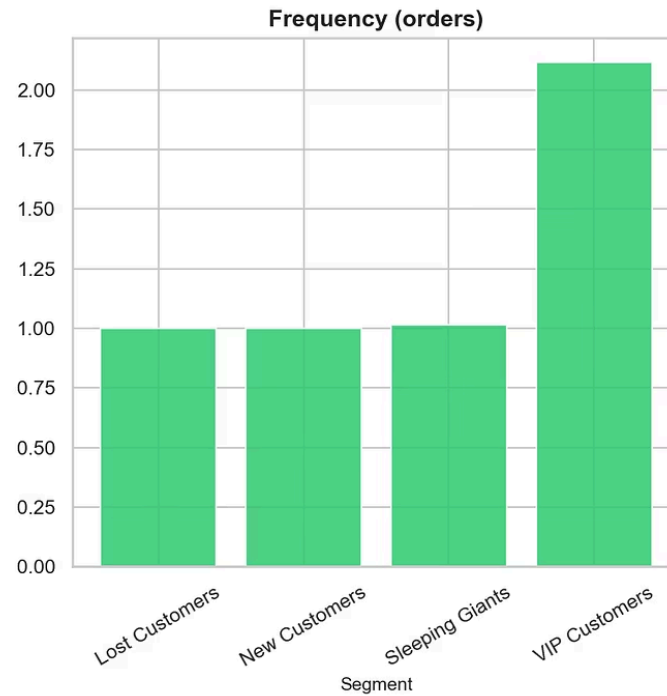
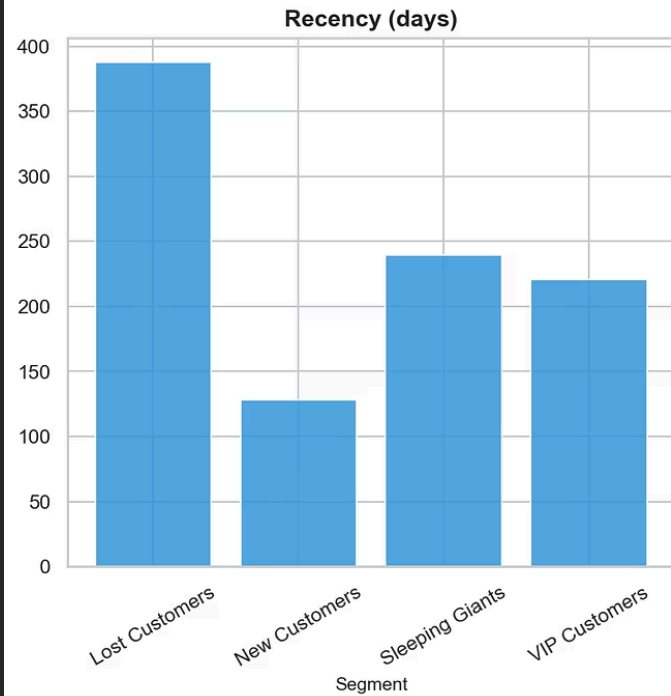
2,772 (3%) —  
recency ~220 days.  
Valuable but small  
cohort.



## Sleeping Giants

2,418 (3%) — avg  
spend R\$1,160.  
Highest ROI potential  
for reactivation.

### Customer Segment Profiles — RFM Analysis



# Recommendations & Next steps

## 1. Fix delivery SLA

Implement real-time SLA monitoring, escalate delays, and automate compensations — highest satisfaction ROI.

## 2. Quality review for ticking bombs

Root-cause analysis across product sources, returns, and seller SLAs for bed\_bath\_table, computers and watches\_gifts.

## 3. Win-back campaign

Target 37,526 lost customers with personalised offers and delivery guarantees.

## 4. Reactivate Sleeping Giants

High-touch outreach + curated bundles for 2,418 customers (avg R\$1,160) — top recovery opportunity.

## 5. Focus on AOV growth

Introduce bundles, minimum free-ship thresholds, and targeted upsell flows to recover margin.

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**Conclusion:** Growth at Olist is real but fragile. Stabilise the customer experience (delivery + category quality) and pursue data-driven retention — especially reactivating Sleeping Giants — to convert growth into sustainable revenue.